ECONOMIC SURVEYS

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RETOUR BUREAU 112

SWEDEN

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS MARCH 1966

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1,000 sq. km)	450
Lakes (1,000 sq. km)	39
Arable area (1,000 sq. km)	33
Woodland (1,000 sq. km)	228

Major cities (Dec. 1965):	
— Stockholm	787,000
— Göthenburg	422,000
— Malmö	249,000

THE PEOPLE

Population (Dec. 1965)	7,773,000
No. of inhabitants per sq.km.	17
Net natural increase (average 1960-1964)	34,200

Net natural increase per 1,000 inhabitants (average 1960-1964)	4.5
Net annual immigration (average 1960-1964)	14,000

PRODUCTION

Gross National Product in 1965 (millions of Kronor)	100,180
GNP per head, U.S. $	2,491

Gross fixed capital formation (1965):	
— Percentage of GNP	24
— Per head, U.S. $	590

THE GOVERNMENT

Public consumption 1965 (percentage of GNP)	19
General government current revenue in 1964 (percentage of GNP)	41
Public gross fixed capital formation in 1964 (percentage of GNP)	4
Public debt at end 1964 (ratio to general government revenue in 1964)	85

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
— Social democrats	78	113
— Liberals	26	42
— Conservatives	26	32
— Centre	19	35
— Communists	2	8
— MBS, Civic Coalition	—	3
	151	233

Last general election: 1964.

Next general election: 1968.

LIVING STANDARDS

Calories per head, per day (1963-1964)	2,910
Average hourly earnings of male industrial workers in 1964 (in Kronor)	8.57
Number of passenger cars in use per 1,000 inhabitants (March 1965)	218

Number of telephones per 1,000 inhabitants (1965)	440
Number of radio sets per 1,000 inhabitants (1965)	380
Number of TV sets per 1,000 inhabitants (1965)	268

FOREIGN TRADE

Exports:

Exports of goods and services as a percentage of GNP (average 1960-1964)	26
Main exports (percentage of toal commodity exports 1965):	
— Forestry products	28
— Machinery, apparatus and transport equipment	35
— Iron and steel	7
— Iron ore	6

Imports:

Imports of goods and services as a percentage of GNP (average 1960-1964)	26
Main imports (percentage of total commodity imports 1965):	
— Machinery, apparatus and transport equipment	30
— Raw materials (non-edible) and fuels	18
— Metals and metal products	14
— Food, beverages and tobacco	11

THE CURRENCY

Monetary unit: Krona.

Currency units per U.S. $ 5.17

ECONOMIC SURVEYS BY THE OECD

SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Pressures on the economy increased considerably in 1965, with adverse effects on labour costs and the foreign balance. Domestic demand continued to rise fast. But the increase in output slowed down substantially, after a strong expansion the previous year. The shortage of labour became more pronounced, and there was a stronger increase in industrial hourly earnings, partly because of higher wage-drift. Prices also rose faster than earlier, but this was due to higher indirect taxes. There are indications that the strain on the labour market eased somewhat towards the end of the year. This was at least partly influenced by the cold weather; but with the maintenance of restrictive monetary and budgetary policies the authorities hope for some easing of the pressure of demand in 1966.

Parts I to III of this Survey review recent trends and policies, short-term prospects and the policy issues these raise. Part IV considers longer-term trends and problems on the basis of the Swedish authorities' own Survey of 1966-1970. It is suggested in that Survey that the acceleration of the growth in real gross national product achieved in the first half of the 1960's may be reversed in the second half, and that the maintenance of economic stability may become more difficult than earlier. Trends in 1965 would seem to have supported this view. Part V summarises the main conclusions.

I. RECENT DEVELOPMENTS

Home demand had strengthened in the second half of 1963, influenced inter alia by a significant rise in exports, and risen by more than 7 per cent in real terms in 1964. Although slowing down somewhat, it continued to expand fast in 1965 (more than 5 per cent in volume). In 1964, with some underutilisation of resources at the beginning of the year and demand well adapted to capacity conditions, output had been able to rise by more than 7 per cent. But in 1965 the growth of output fell to about half that rate. This was mainly because of capacity limitations; but demand trends weakened in certain individual sectors.

TABLE 1. BALANCE OF RESOURCES[1] 1963-1965

1959 prices.

	KR. MILLION			PERCENTAGE CHANGES		
	1963	1964	1965	1963	1964	1965
Private consumption	41,591	43,794	45,496	5.0	5,3	3.9
Public consumption	9,832	10,415	11,088	7.7	5.9	6.5
Gross fixed asset formation[2]	23,719	25,118	26,425	5.2	5.9	5.2
Change in stocks	— 128	1,028	1,587	— 0.2[3]	1.3[3]	1.9[3]
Domestic demand	75,014	80,355	84,596	4.6	7.1	5.3
Exports of goods and net services	16,890	18,764	19,378	6.6	11.1	3.3
Total demand	91,904	99,119	103,974	5.0	7.8	4.9
Imports of goods	16,798	18,503	20,501	6.7	10.2	10.8
Gross National Product	75,106	80,616	83,473	4.6	7.3	3.5

1. According to the definitions used in Swedish national accounts statistics.
2. Including maintenance, repairs and military investment.
3. Per cent of GNP.

Source: Preliminary National Budget for 1966.

Demand

Gross fixed asset formation, although growing less fast than in 1964, remained an important expansionary element in 1965, but with some shift in its composition. Industrial investment rose by 8 per cent in real terms, following stability or decline in the preceding three years; the increase was particularly strong in investment in machinery and equipment, with a smaller advance in industrial construction. Residential construction rose much less than in the previous year, influenced by a more restric-

TABLE 2. GROSS FIXED ASSET FORMATION[1] 1963-1965

Percentage changes from previous year (1959 prices).

	1963	1964	1965
Private gross fixed investment	4.4	4.4	4.3
Public gross fixed investment	6.4	7.9	6.4
Central government gross fixed investment	1.2	4.1	2.3
Local government gross fixed investment	12.6	12.0	10.5
Total gross fixed investment	5.1	5.9	5.2
Industrial investment	2.3	—3.7	8.1
Housing	7.0	9.6	2.0

1. Including maintenance, repairs and military investment.

Source: Preliminary National Budget for 1966.

tive government policy; more than 90 per cent of new dwellings are partly financed by government credit. Public investment also increased less than in 1964, although the rate of growth of municipal gross fixed asset formation remained high. Investment in ships, affected by year-to-year fluctuations in deliveries, declined.

Inventory accumulation, relatively high in 1964, rose further in 1965. This was partly due to a certain involuntary stockbuilding in the pulp industry, reflecting weaker export markets. The shortage of labour seems to have slowed down deliveries from the engineering industry, with an increase in the volume of goods in the process of production. Inventories of retail and wholesale stages may also have increased more than in 1964. Including stocks, business investment rose by 10 per cent in volume in 1965; the increase in fixed assets was 6 per cent.

Private consumption rose rather faster than GNP, despite some increase in indirect taxation. Consumer spending was particularly high in the first half of the year in anticipation of the increase in the general sales tax and certain other indirect taxes in July. There seems to have been some decline in the personal savings ratio; this may have represented a lagged effect of the very strong increase in disposable incomes which occurred in 1964, when the savings ratio rose markedly. Public consumption continued to grow at a relatively high rate in 1965.

TABLE 3. HOUSEHOLD INCOMES, CONSUMPTION AND SAVINGS 1963-1965

	KR. MILLION			PERCENTAGE CHANGE	
	1963	1964	1965[1]	1964	1965[1]
Factor income	60,171	66,486	72,194	10.5	8.6
of which:					
Wages and salaries	49,107	54,190	59,146	10.4	9.1
Taxes less transfers	— 8,446	— 9,654	—11,574	14.3	19.9
Insurance payments, net	— 78	— 8	17	..	..
Disposable income	51,647	56,824	60,637	10.0	6.7
Consumption	46,763	50,694	55,307	8.4	9.1
Savings	4,884	6,130	5,330	25.5	— 13.1
Savings ratio	9.5	10.8	8.8	..	..

1. Preliminary.

Source: Preliminary National Budget for 1966 and Revised National Budget for 1965.

Net imports of goods and services rose sharply in 1965; in current prices the change from the preceding year represented 1.3 per cent of GNP. This movement was to some extent due to a weakening of foreign demand, but it is possible that the strong rise in Swedish labour costs in

recent years may have had an adverse influence on export or import performance in certain individual sectors, although there is little indication that the foreign balance as a whole has been very considerably affected by any deterioration of the cost position. The main reason for the deterioration of the foreign balance was probably the growing pressure on domestic resources, which apparently had an adverse effect on exports and led to an increase in the import ratio.

Output and Employment

Preliminary estimates from the expenditure side suggest that the increase in the real gross national product fell to 3.5 per cent in 1965, half the rate achieved in 1964. While some deceleration was in any case likely, given the increase in capacity utilisation in 1964, the slowdown was much more marked than expected by the authorities. Indeed, the increase of output seems to have been rather lower than the trend increase in capacity (estimated at 4 per cent). It is possible that the heavy strain on resources hampered the expansion. Weather conditions also played some role in the sense that bad weather in 1963 had artificially bolstered growth in 1964. It cannot be excluded, however, that the growth of GNP in 1965 has been underestimated. Preliminary estimates are often on the low side, and such indicators as exist on the movement of output suggest that real GNP may have risen by 4.5 per cent. Preliminary estimates for inventory accumulation and private consumption may prove too low. It may also be that the growth in GNP in 1964 has been somewhat overestimated at the expense of 1965; the timing of certain types of investment, especially building and construction, is always difficult to determine.

TABLE 4. PRODUCTION

Percentage volume changes from previous year.

	1963	1964	1965
Agriculture	—8	5.5	—2.5
Forestry	—1.5	12.5	8
Building and construction	7.5	7	5.5
Electric light and power	0	11.5	9
Mining and manufacturing	6	9.5	6
Total services	5	5	3
Gross national product	4.5	7.5	4.5[1]

1. This estimate differs from that made on the basis of demand trends.

Source: National Institute of Economic Research.

Industrial production was 6 per cent higher in 1965 than in 1964, compared with an increase of 9.5 per cent in the previous year. The expansion slowed down in most industries, hampered by the shortage of labour. In some export branches, notably the iron, steel and pulp industries, weaker foreign demand played a role, particularly in the second half of the year. In the textile, shoe and leather industries and agriculture, output rose little or fell—a continuation of the trend of recent years towards structural rationalisation. But this development should not have had any adverse effect on total output since labour was released and absorbed by other sectors.

The growing pressure on the labour market in 1965 was reflected in an increase in the excess of jobs vacant over the number of unemployed. Unemployment reached its lowest level since present statistics were introduced in 1955. Business tests covering the first three quarters of the year pointed to a growing shortage of labour in industry and a continued tight situation in building and construction. The increase in the active population (15 to 69 years) rose by 0.9 per cent in 1965, as in 1964, reflecting some slowdown in the natural increase in the labour force offset by higher net immigration. But the number of employed rose less than in 1964, because of a smaller increase in the employment of married women. An extension of paid vacations affected the volume of labour input both in 1964 and 1965.

TABLE 5. NUMBER OF PERSONS EMPLOYED BY SECTORS

Percentage change from previous year.

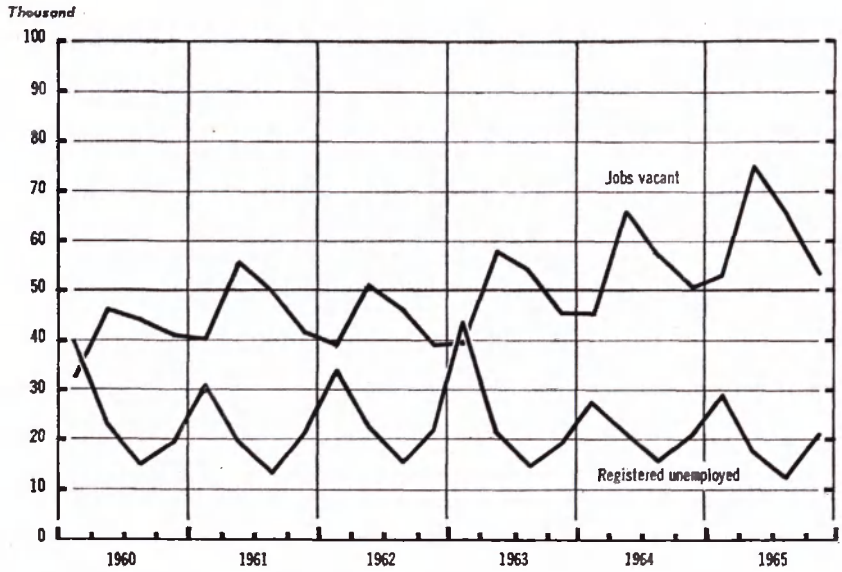
	1964	1965
Agriculture, forestry, fishing	— 5.3	— 6.3
Manufacturing, public utilities	1.1	1.9
Building and construction	3.8	1.6
Transportation, trade, private services	0.5	0.4
Public services	5.5	4.0
Total	1.0	0.8

Source: Preliminary National Budget for 1966.

There are indications that the pressure on resources eased somewhat towards the end of 1965, partly because of a stronger increase in the supply of labour. This was to some extent due to the fact that the influx of labour from abroad was concentrated in the second half of the year. The movement of labour from the northern to the southern parts of the country continued, influenced by stronger efforts by the labour market authorities to satisfy demand for labour. There are also indications

that demand for labour levelled off somewhat. Much of this may have been caused by the early winter, but the Swedish authorities feel that there is a better underlying trend begun, influenced by restrictive monetary and fiscal policies. An acceleration of the structural change in industry towards the end of 1965, with an increase in the number of early warnings of redundancies in some declining industries (notably textiles, clothing and footwear), contributed to the easier conditions.

Diagram 1. **JOBS VACANT AND UNEMPLOYMENT, 1960-1965**
QUARTERLY AVERAGES



Source: OECD, Main Economic Indicators.

Costs and Prices

1965 saw a strong increase in wages and salaries. The two-year wage agreements concluded in the spring of 1964 had covered most wage and salary earners and provided for average increases in wage rates of about 4 per cent in that year and 4.5 per cent in 1965. Wage-drift, however, accelerated from 3.3 per cent in 1964 to 3.5 per cent. This was particularly strong in industry and construction, although in the latter sector it was rather lower than in 1964. In industry, hourly wage costs, including an increase in certain fringe benefits (longer vacations and higher employers' contributions to the national pension scheme), rose by 11.2 per cent compared with 8.6 per cent in the previous year.

TABLE 6. UNIT LABOUR COSTS IN MANUFACTURING
SELECTED COUNTRIES

Percentage change per year.

COUNTRY	1958-61	1962	1963	1964	1965
United States	— 0.6	— 0.2	— 0.7	2.0	1.4
Germany	2.1	6.9	2.4	10.0	3.0
United Kingdom	2.8	3.2	— 0.4	— 0.5	4.6
France	— 1.7	6.6	1.2	4.0	2.1
Japan	0.3	6.9	3.0	— 2.9	7.2
Canada	— 1.3	— 6.0	0.4	0.8	0.8
Italy	— 1.7	7.2	13.2	9.4	5.2
Average of above countries	0.2	5.5	1.2	3.4	3.1
Sweden	2.0	5.0	2.5	0.0	6.0

Source: OECD Secretariat and National Institute of Economic Research.

NOTE. Unit Labour Costs are defined in principle as the total cost of wages, salaries and associated employer outlays, per unit of output in the manufacturing sector. In practice comparability of the estimates between countries is limited.

Unit labour costs in manufacturing rose by as much as 6 per cent in 1965. Available statistics suggest that in that year Sweden was amongst the countries with the highest increase in unit labour costs, after a period of better stability (see Table 6). The data used for the calculation of such indices are uncertain, and inter-country comparisons are difficult to make and interpret. Nevertheless, a relatively strong increase in unit labour costs over a number of years would seem to deserve some attention by the authorities.

TABLE 7. FACTORS BEHIND CHANGES
IN WAGE BILL AND IN HOURLY INDUSTRIAL WAGES, 1963-1965

	WAGE BILL (ALL SECTORS)			HOURLY INDUSTRIAL WAGE COSTS		
	1963	1964	1965	1963	1964	1965
Percentage increase on a calendar year basis due to:						
1. Wage agreement revisions	5	3.8	4.5	3	2.1	3.9
2. Wage-drift	1.5	3.3	3.5	3.7	4.7	5.5
3. Fringe benefits paid by employers	0.5	0.6	0.4	1.8	1.8	1.8
4. Change in employment	1	2.7	1.7	..	..	..
Total	8	10.4	10.1	8.5	8.6	11.2

Source: National Institute of Economic Research.

The rise in the consumer price index in the course of 1965 (about 6 per cent) was heavily influenced by the increases in indirect taxes adopted in July; excluding these, the index rose by 3.8 per cent, rather less than during 1964 (4.5 per cent). Wholesale prices for manufactured goods also rose somewhat less than in 1964. This suggests that the stronger pressure of demand and wage costs had little immediate effect on the general price trend.

Balance of Payments

The emergence of a sizeable deficit on the current account of the balance of payments in 1965 was in sharp contrast to earlier years; over most of the post-war period the current account had been in approximate balance. The deterioration largely reflected a marked increase in the trade deficit; but a decline in net invisible earnings also contributed. The deficit was partly financed by an inflow of capital, most of it in the form of borrowing abroad by the private sector, particularly shipyards and shipping companies. The inflow under errors and omissions also rose. The official gold and foreign exchange reserves including the IMF position rose slightly to $ 955 million at the end of December.

TABLE 8. **BALANCE OF PAYMENTS**

$ million.

	1960	1961	1962	1963	1964	1965[1]
Exports, fob	2,567	2,746	2,938	3,216	3,693	3,990
Imports, cif	2,902	2,931	3,123	3,393	3,856	4,379
Trade balance	— 335	— 185	— 185	— 177	— 163	— 389
Shipping earnings, net	262	267	279	283	298	300
Other services, net	— 10	— 36	— 81	— 124	— 147	— 191
Current balance	— 83	46	13	— 18	— 12	— 280
Registered capital transactions, net	33	— 14	52	— 34	69	103
of which: Government transactions	— 3	7	— 9	14	24	3
Private loans	40	21	64	— 49	92	106
Direct investment	— 9	— 17	— 6	24	— 54	— 30
Errors and omissions	19	167	30	29	140	200
Change in foreign exchange reserves[2]	— 31	199	95	— 23	197	23

1. Preliminary.
2. Including changes in IMF position.

Source: Preliminary National Budget for 1966.

The increase in the volume of merchandise exports (excluding ships) slowed down from 12.5 per cent in 1964 to 3.5 per cent in 1965. This movement was to some extent caused by weaker foreign demand for certain important Swedish exports, notably pulp, paper and iron ore. But

the main reason for the poorer performance was no doubt the strong pressure of domestic demand. Shipments from the engineering industry (excluding ships) which account for one-third of total merchandise exports, rose by only 5 per cent in volume in 1965, compared with 13 per cent in 1964; the slowdown was largely due to capacity limitations. With a strong increase in exports of ships, and with a 3 per cent rise in average export prices, the value of total exports (including ships) rose by 8.1 per cent compared with 15 per cent in 1964. The rise in export prices largely reflected strong increases in prices on wood products and non-ferrous metals.

Merchandise imports rose by 13.6 per cent in 1965. The increase was very widespread by commodities, and entailed a rise in the import-GNP ratio, following virtual stability for a number of years. This development was also probably related to the stronger pressure of demand. Import prices rose by 1.7 per cent, rather less than export prices, so the terms of trade improved somewhat.

Invisible earnings (net) declined in 1965, continuing the trend of recent years. This movement can mainly be ascribed to the fact that the moderate increase in shipping earnings in the last few years has been insufficient to accommodate the strong rise in net expenditure on other services, mainly tourism; this expenditure more than doubled between 1962 and 1965.

Assessment of the balance of payments position should take account of the likelihood that the item "errors and omissions" includes a fairly stable element of net current receipts. In the long-term survey for 1966-1970, these receipts have been estimated at some $ 75 million.

II. ECONOMIC POLICY

The restrictive demand-management policies introduced in 1963 and 1964 were reinforced last year. The Central Bank operated so as to restrain the credit expansion, mainly through increasing the discount rate and open market sales. The effect of this was helped by the fact that, not altogether expectedly, the central government budget moved into overall surplus. An active labour market policy was continued.

Monetary Policy

Further measures were taken in 1965 to restrict the expansion of credit-financed demand (see Table 9). In April the discount rate was raised from 5 to 5.5 per cent and the penalty rate on commercial bank

borrowing from the Central Bank was increased from 10 to 11 per cent. Following these measures, the banks raised their lending and deposit rates by one-half of one percentage point. The Central Bank continued to sell securities in 1965, thereby reducing private liquidity. Debt management policy operated in the same direction; government borrowing exceeded the amount needed for debt repayment, and was concentrated in the long-term market, thereby lengthening the average maturity of the public debt.

TABLE 9. MONETARY POLICY MEASURES

1963:	Spring	Commercial banks reminded by Central Bank that the liquidity ratios recommended earlier had to be observed (30 per cent for big banks and 25 per cent for other banks).
	June	Bank rate raised from 3.5 to 4 per cent.
	Summer and Autumn	Government bond issue with higher interest rate.
1964:	January	Bank rate raised to 4.5 per cent.
	February	Government bond issue with higher interest rate (5.75 per cent). Introduction of penalty rate of 9 per cent on loans from Central Bank to any commercial bank exceeding half the amount of the commercial bank's own capital and reserves.
	April	In the case of non-observance of liquidity ratios, penalty rate applied to Central Bank credit to any commercial bank that exceeded 25 per cent of the commercial bank's own capital and reserves.
	November	Bank rate raised to 5 per cent, and the penalty rate to 10 per cent. Government bond issue at par bearing 6 per cent rate of interest.
1965:	April	Bank rate raised to 5.5 per cent, and the penalty rate to 11 per cent.

Bank liquidity was reduced in 1965 (see Table 10). Total liquid assets showed a significant decline in absolute terms. Within this total there was a particularly marked decline in short-term liquid assets, with a deterioration of the banks' net position vis-à-vis the Central Bank. The banks' holdings of relatively liquid securities rose, reflecting purchases of mortgage bonds, and some selling of government bonds. The table shows that the open market operations of the Central Bank, and the Government's transactions, were important factors behind the decline in bank liquidity.

Nevertheless, the increase in the volume of funds raised in credit and capital markets accelerated, following the slowdown in 1964 (see

Table 10. COMMERCIAL BANK LIQUIDITY

Kr. million.

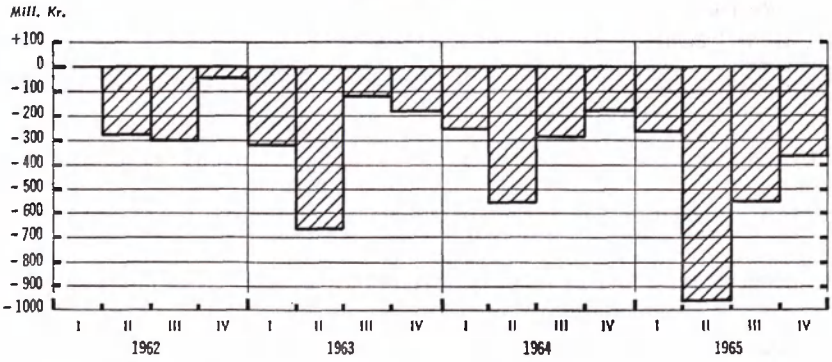
	1962	1963	1964	1965
Change in commercial banks' liquid assets, as defined by Central Bank[1]	1,480	— 183	649	— 341
Resulting from:				
a) Change in official gold and foreign exchange reserves	493	— 121	1019	117
b) Government expenditure surplus	— 599	201	261	— 245
c) Government borrowing outside the Central Bank and commercial banks. Short-term loans from the Post Office Bank are also deducted (increase—)	748	— 126	— 654	— 183
d) Notes in circulation outside the commercial banks (increase —)	— 429	— 509	— 549	— 341
e) Deposits on investment accounts at the Central Bank (increase —)	333	32	— 103	— 171
f) Commercial banks' net purchases of mortgage institutions' bonds (face values)	475	— 32	772	548
g) Change in short-term assets held by the Post Office Bank and the National Pension Insurance Fund (increase —)	436	119	— 2	137
h) Other	23	253	— 95	— 203
Change in commercial banks' short-term liquid assets[2]	333	327	139	— 724
Change in commercial banks' net position vis-à-vis Central Bank (Dec.-Dec.)	— 101	— 138	— 8	— 175

1. Short-term domestic and foreign assets (net) and government and mortgage bonds.
2. All liquid assets except government and mortgage bonds.

Source: Sveriges Riksbank.

Diagram 2. COMMERCIAL BANKS' NET POSITION VIS-A-VIS THE CENTRAL BANK

End of quarter



Source: Riksbankens Förvaltningsberättelse för ar 1965.

Table 11). The amounts raised by business rose significantly, while the increase in the borrowing by housebuilders and municipalities seems to have been smaller than between 1963 and 1964. The Government reduced its debt in 1965. The expansion of bank loans was much stronger than in 1964, partly financed by commercial bank borrowing from the Central Bank despite the penalty rate. The volume of new bond issues declined, influenced by a stricter issuing policy. Business borrowing in the bond market, however, was about the same as in 1964, and the funds raised in the stock market rose fast.

TABLE 11. **CREDIT AND CAPITAL MARKETS, 1963-1965**

Net amounts, Kr. million.

LENDERS	BORROWERS				
	CENTRAL GOVERNMENT	LOCAL AUTHORITIES	DWELLINGS	INDUSTRY AND COMMERCE	TOTAL
1963:					
The Central Bank	350	0	100	50	500
The commercial banks	— 700	50	900	2,050	2,300
Other credit institutions	600	850	2,750	1,150	5,350
Private persons	— 50	50	50	300	350
Total	200	950	3,800	3,550	8,500
1964:					
The Central Bank	— 250	0	100	0	— 150
The commercial banks	0	200	1,250	1,450	2,900
Other credit institutions	250	1,100	3,050	1,300	5,700
of which: The National Pension Insurance Fund	280	470	1,050	550	2,350
Private persons	250	100	0	400	750
Total	250	1,400	4,400	3,150	9,200
1965 (Preliminary):					
The Central Bank	500	0	0	0	500
The commercial banks	— 1,000	250	1,250	1,900	2,400
Other credit institutions	400	1,200	3,500	1,500	6,600
of which: The National Pension Insurance Fund	300	500	1,200	700	2,700
Private persons	— 150	50	100	500	500
Total	— 250	1,500	4,850	3,900	10,000

Source: The Preliminary National Budget for 1966 and Swedish submissions to OECD.

With strong credit demand and a decline in bank liquidity, market rates rose further in 1965, following the upward movement since early 1963. The effective yield on Government bonds with 15 years to maturity

rose from 5.87 per cent at the end of 1964 to 6.27 per cent at the end of 1965. Industrial bond yields showed a similar increase. The rise in stock prices, very strong in 1963 and 1964 partly influenced by inflationary expectations, levelled out in 1965.

TABLE 12. CAPITAL MARKET, NET FLOWS[1]

Kr. million.

	1961	1962	1963	1964	1965
Long-term bonds	1,577	3,535	3,234	4,170	3,449
Shares	602	427	363	485	934
Loans etc. from capital market institutions	2,114	2,075	2,457	2,742	3,911
Total	4,293	6,037	6,054	7,397	8,294

1. According to Central Bank's definitions.
Source: Sveriges Riksbank.

The Central Government Budget

The 1965-66 budget[1] proposed by the Government envisaged a decline in financial savings and an increase in the overall deficit to almost Kr. 1 billion compared with a deficit of only Kr. 0.2 billion realised in 1964-65. Budget expenditure was rising fast, partly because the Government, from the beginning of 1965, took over some expenditures which had earlier been the responsibility of the municipalities; excluding these, the rise in central government consumption and investment was estimated at 9 per cent in current prices. Revised estimates, however, point to a small overall surplus, although expenditure is likely to rise more than originally envisaged. To some extent the much stronger increase in budget receipts than expected can be ascribed to a rather faster increase in incomes between 1964 and 1965 than thought likely when the budget was prepared. Of greater importance is the fact that the increase in private incomes in 1964 has turned out to be considerably higher than estimated early in 1965, entailing an unexpected rise in deferred payments of taxes due in 1965-66.

The budget was expected to be more restrictive in the second half of calendar 1965 than in the first half of 1966, mainly because of the timing of certain tax changes. Direct tax rates were reduced from the beginning of 1966, and children's allowances were increased from 1st July 1965. To offset the effect of this on the budget, certain indirect taxes were raised with effect from 1st July 1965, including an increase in the general sales

1. 1st July to 30th June.

tax from 6 to 9.1 per cent. However, given the strong pressure of demand, indirect taxes were increased further early in 1966, largely offsetting the effect on the budget of the cut in direct taxation. The net effect on the budget of all these measures is estimated to be an increase in revenue of at least Kr. 800 million in a full year.

TABLE 13. CENTRAL GOVERNMENT BUDGET

Kr. million.

	CALENDAR YEAR				FISCAL YEAR			
	1963 ACTUAL	1964 ACTUAL	1965 PRELIM.	1966 FORECAST	1963/4 ACTUAL	1964/5 ACTUAL	1965/6 PRELIM.	1966/7 PROPOSAL
1. Revenue	19,886	21,934	26,270	29,350	20,927	24,257	28,605	29,771
of which: direct taxes	8,556	9,549	11,930	12,380	8,952	11,088	12,634	11,959
indirect taxes	9,841	10,777	12,290	14,590	10,508	11,275	13,641	15,375
2. Gross investments	3,869	4,235	4,770	4,950	4,140	4,610	4,906	4,865
3. Consumption	5,106	5,547	6,700	7,350	5,326	6,189	7,264	7,099
4. Transfers	10,191	11,362	13,350	15,400	10,727	12,568	14,459	16,309
5. Total 2 to 4	19,166	21,144	24,820	27,700	20,193	23,367	26,629	28,273
6. Financial savings (1 — 5)	+ 720	+ 790	+ 1,450	+ 1,650	+ 734	+ 890	+ 1,976	+ 1,498
7. Lending	794	982	1,200	1,750	820	1,057	1,756	1,707
8. Total expenditure (5 + 7)	19,960	22,126	26,020	29,450	21,013	24,424	28,385	29,980
9. Overall balance (1 — 8)	— 74	— 192	+ 250	— 100	— 86	— 167	+ 220	— 209

NOTE. Calendar year estimates have been derived from fiscal year figures and are uncertain.
Source: Preliminary National Budgets for 1965 and 1966.

The 1966-67 budget proposed by the Government envisages some decline in financial savings and a change to a small overall deficit. The budget does not include any provision for the increase in civil service salaries which seems likely in 1966; the overall deficit may therefore turn out even higher than expected. It is important to note, however, that the estimates have been based on a 7 per cent increase in the wage bill in 1966 and a 5 per cent increase in 1967, which would be less than the 10 per cent experienced in 1965. To some extent the expected change in the overall budget deficit reflects the automatic effect on the receipts of less inflationary conditions. If prices and incomes should rise more than expected, tax receipts will be higher and the overall budget deficit lower. It is therefore difficult to assess the significance of the movement of the overall balance assumed in the budget. It is important to note, however, that government purchases of goods and services are expected to increase less fast than earlier, with a moderating influence on the growth of aggregate demand.

III. SHORT-TERM PROSPECTS AND POLICY ISSUES

Given the strong pressure of demand with adverse effects on costs and the foreign balance which developed in 1965, a major objective of economic policy must be to restore more stable conditions in 1966. On the basis of present trends and policies, including the budget proposed for 1966-67, the authorities expect the expansion of domestic demand in volume to slow down from more than 5 per cent in 1965 to 3.5 per cent in 1966. This movement is to a large extent expected to result from a decline in inventory demand, notably the return to a more normal rate of inventory accumulation in the engineering industry following the unusually strong build-up that took place in 1965, and an absolute decline in inventories in the pulp industry assuming an increase in foreign demand for this product. The authorities also expect some slowdown in domestic final demand (excluding stocks), from 4.6 per cent in 1965 to 4.2 per cent in 1966, with a marked deceleration in the growth of private consumption more than offsetting some acceleration of the increase in fixed investment.

TABLE 14. PROSPECTS FOR ECONOMIC GROWTH IN 1966

	1965 KR. MILLION PRELIM.	PERCENTAGE VOLUME CHANGE FROM PREVIOUS YEAR	
		1965	1966
Gross fixed asset formation	35,094	5.2	6.6
Private consumption	56,307	3.9	2.5[1]
Public consumption	15,695	6,5	5.1
Total final demand	107,096	4.6	4.2
Change in stocks	1,629	1.9[2]	0.8[2]
Total domestic demand	108,725	5.3	3.5
Net exports	— 1,447	— 1.3[2]	— 0.9[2]
Exports and net services	21,204	3.3	6.6
Imports of goods	22,651	10.8	4.4
Gross national product	107,278	3.5	3.9

1. Based on the assumption of an increase in the wage bill of about 8 per cent.
2. Per cent of GNP.

Source: Preliminary National Budget for 1966.

The expected slowdown in the increase in private consumption from 3.9 per cent in 1965 to 2.5 per cent in 1966 is based on the lower of two alternative assumptions made in the National Budget about the outcome of the wage negotiations now under way. This envisages an 8 per cent increase in the wage bill, reflecting a 1 per cent increase in employment and a 7 per cent rise in average wages and salaries; the latter compares

with an increase of 9 per cent in 1965. Consumer prices are expected of rise by 3 per cent in the course of 1966 (just above 2 per cent excluding indirect taxes) but to be about 5 per cent higher in the year as a whole than in 1965. Should wages rise faster, the authorities expect the effect on private consumption in real terms to be somewhat cushioned by a higher rise in prices, the progressive tax system, and some increase in the personal savings ratio; a 10 per cent increase in average wages and salaries (instead of 7 per cent) might thus raise the consumption estimate from 2.5 per cent to just above 3 per cent.

The expected acceleration of the increase in fixed asset formation reflects an estimated increase in private non-residential investment of 10 per cent in real terms (6 per cent in 1965). Industrial fixed asset formation is expected to rise by as much as 14 per cent, and investment in ships should also increase significantly, while the volume of fixed investment in commerce and certain other sectors is likely to decline. Residential construction is expected to remain at about the 1965 level. In the public sector, real capital expenditure is planned to rise at about the same rate as in 1965, with some acceleration in central government expenditure being offset by a slowdown in the expansion of local authorities' investment. The increase in central government capital expenditure, however, is planned to level out in the fiscal year 1966-67.

The authorities assume that capacity is growing at an annual rate of 4 per cent, and that the small increase in 1965 (3.5 per cent) represented an underestimation or was due to temporary factors. In 1966 employment (working hours) is thought likely to increase by at least 0.5 per cent; this assumes that immigration will continue at a fairly high rate, and some further increase in the participation rate of married women. With domestic demand likely to rise rather less than this, the authorities expect some easing of the pressure on resources, with a favourable effect on the foreign balance. Swedish exporters should be able to increase their share of foreign markets, and imports should rise rather less in relation to domestic demand than earlier, reversing the trends experienced in 1965. On this basis, and with a further strong increase in world trade in 1966, but with a lower rate of expansion in markets which take about 50 per cent of Swedish exports (other Scandinavian countries, Germany and the United Kingdom), the authorities expect the current external deficit to decline from $ 280 million in 1965 to about $ 200 million in 1966.

Some of the forecasts may prove to have been on the optimistic side. In particular, the assumed increase in wages and salaries (7 per cent) would seem to be low, given trends in wage rates and wage-drift in recent years, the labour market conditions likely to prevail in 1966, and the probable rise in prices this year; the latter certainly has a strong influence on the claims put forward by the trade unions. Should the increase in wages and other incomes be higher than assumed, further measures would seem

to be required to maintain reasonably stable conditions and ensure a decline in the current external deficit.

Moreover, it is possible that the very cold winter will complicate the task of restoring better stability. It will have an adverse effect on the supply side, notably on activity in building and construction. But since demand is likely to be much less affected, the recovery of activity will add to the strain on resources later in the year, increasing the pressure on wages, prices and the foreign balance. Further measures to restrict the rise in building starts may prove desirable.

It is also questionable whether the degree of stability aimed at in the National Budget is adequate. The current external balance, although improving, is expected to remain in deficit to the tune of $ 200 million (1 per cent of GNP) in 1966, despite the assumption of a relatively strong increase in world trade. In other words the deficit reflects some continued imbalance in the domestic economy. The consequences for the external reserve position would not be disastrous, given the size of official reserves (almost $ 1 billion) and the likelihood that at least a part of the deficit will be financed by capital imports. The adverse effects on the cost position of Swedish industry may be important. The fact that unit labour costs in manufacturing have risen relatively fast in Sweden in recent years, particularly in 1965, does not necessarily mean that Swedish industry has become less competitive. But it may well be a warning that the scope for cost increases is diminishing; a continuation of the increase in unit labour costs at the rate experienced in 1965 (6 per cent) would be very likely to lead to difficulties, given the more stable trends in many other countries. A better balance in the economy, with less pressure on prices and foreign account, would clearly have been desirable.

IV. LONGER-TERM TRENDS AND PROBLEMS

The 1960-1965 Period

Between 1960 and 1965 Sweden experienced a faster economic expansion than during any half-decade in this century, with real GNP rising by 4.9 per cent a year, a rate well above that of most other industrialised OECD countries[1]. Productivity, either measured as output per employed or output per working hour, also increased faster than earlier (see Table 16). Manufacturing industry spearheaded the expansion with an increase in production of 6.5 per cent a year. Agricultural production (value added in fixed prices) declined, continuing its downward trend.

1. On the basis of OECD definitions the growth was 5.1 per cent a year.

About half the acceleration in the annual rate of growth of GNP from 3.4 per cent in the 1950's to 4.9 per cent in the first half of the 1960's can be ascribed to a better trend in employment; measured in hours worked, employment rose by 0.6 per cent a year in the latter period following a slight decline during the 1950's. The ratio of gross asset formation to GNP also rose, from 31.2[1] per cent in 1960 to 32.7 per cent in 1965, but the increase in the volume of capital per unit of labour was no faster than in the 1950's, suggesting that the acceleration of the advance in production must have been caused by other factors; the most important of these were probably better education and training of the labour force, new and better techniques, and some re-allocation of labour and capital towards high productivity sectors. Another factor of some importance may have been that a better economic stability made possible a more efficient use of available resources.

The previous long-term survey had expected an increase in GNP of only 4 per cent a year. The stronger expansion permitted faster increases in both consumption and investment than earlier envisaged, but the pattern of expenditure, with a particularly strong increase in investment and public consumption, was well in line with the earlier survey, this had proposed that high priority should be given to investment. Nevertheless, there are shortages and " queue " problems in several sectors, notably housing, education and social institutions (hospitals, old-age homes, etc.). Private consumption rose slightly less fast than GNP, as proposed by the 1961-1965 Survey.

But over most of the period, and particularly in 1965, the pressure on resources was rather stronger than envisaged and the balance of payments target was not achieved. The 1961-1965 Survey aimed at a current external surplus of some $ 100 million, partly as a basis for higher development aid and partly in order to increase the foreign exchange reserves. The current account was in approximate balance in the first years of the 1960's but showed a large deficit in 1965. As already noted, costs and prices have risen relatively fast in recent years, but an excessive increase in domestic demand was probably the main reason for the deterioration of the foreign balance.

The 1966-1970 Survey

The nature of this Survey is very much the same as that of its predecessors. The Survey is not an economic programme to which the Government, subject to Parliamentary consent, commits itself. Rather it is an expert study put forward *to* the Government to serve as a basis for the autho-

1. According to Swedish definition. The main difference from OECD definition is that the Swedish concept includes repair, maintenance, and military investment. On an OECD basis the investment ratio in 1960 was 22.2 per cent.

rities' policy decisions related to long-term economic developments. A White Paper on long-term economic policy issues will be submitted to Parliament in the spring. The Survey has been prepared by experts within the Ministry of Finance on the basis of contributions from other public authorities, private firms and associations, and independent experts. The main parts of the Survey deal with the resources likely to be available in the next five years, major allocation problems, and a more detailed discussion—illustrated by quantitative estimates—of the implications of a particular set of assumption about resource allocation.

Available Resources

One of the most important findings of the Survey is that employment measured in working hours is likely to decline in the next five years. However, given the natural increase in the labour force, much will depend on immigration, participation rates in the labour force, and weekly working hours.

Total population should increase by 0.8 per cent a year, rather faster than earlier, although net immigration is expected to decline to 10,000 a year. In the 1960-1965 period net immigration averaged almost 18,500 a year, and it rose during the period to 33,000 in 1965. The estimate in the Survey may therefore be on the lower side. The development will, however, very much depend on public policy in this field, and on the policies and conditions inemigrant countries. Finland is the country of origin for about 60 per cent of net immigration to Sweden. During recent years the number of people coming from Mediterranean countries has increased considerably, but is still relatively small (approximadely 6,000 in 1965).

TABLE 15. POPULATION DEVELOPMENT 1960-1980

	1960	1965	1970	1975	1980
	Per cent of total population				
AGE GROUPS					
0—15	23.9	22.3	22.8	23.7	24.5
16—64	64.2	64.8	63.2	61.2	59.4
65—	11.9	12.9	14.0	15.1	16.1
	100	100	100	100	100
	Percentage increase				
TOTAL POPULATION					
Percentage increase over previous five-year period	2.9	3.3	4.1	4.1	3.7

Source: Svensk Ekonomi 1966-1970.

The labour force is expected to rise by 0.7 per cent a year, rather less fast than earlier. The age distribution is likely to change somewhat in favour of the non-active population groups, and participation rates for men and unmarried women are likely to decline, mainly because of longer education. The whole increase in the labour force is expected to result from a further increase in the participation rate of married women. This rate —35 per cent for the age group 30-65—is already higher than in many other countries. Nevertheless, it is assumed that the rate will increase to above 43 per cent in 1970.

A series of measures have been or will be introduced to stimulate the participation of married women in production. For that purpose some changes in the tax system were made from the middle of 1965. The authorities, partly in co-operation with private business, have launched special vocational training programmes and information campaigns, which inter alia have resulted in a growing number of married women being recruited in the engineering industry. The limited availability of part-time occupations has probably acted as a barrier for many housewives, but there now seems to be a tendency towards more such job opportunities also in manufacturing. The supervision of children often represents a problem because of the pronounced shortage of appropriate institutions; according to municipal plans the capacity of day homes for children should be doubled between 1964 and 1970. The Survey explains that the increase in statistically-recorded output resulting from greater participation of married women in the labour force will to some extent be offset by the fact that the work performed by married women in their homes will be replaced by greater use of consumer durables, more domestic help, public expenditure on children's day homes, etc. The Survey states that the assumed increase in the participation rate of married women may be optimistic.

The number of man-years is likely to grow more slowly than the labour force because married women take mostly part-time jobs. Moreover, because of an assumed cut in the working week from 45 to 42,5 hours (and assuming that only those now working more than 42,5 hours will be affected), the Survey expects an average decline in total labour input of 0.3 per cent a year, compared with the annual increase of 0.6 per cent experienced in the first half of the present decade. A recent agreement between the Government and the trade unions suggests that the cut will be made in 1968, and that a further cut to 40 hours a week will take place a couple of years later; the latter reduction will be particularly significant since it will affect not only wage earners but also salary earners.

Productivity (output per man-hour) is expected to grow by 4.5 per cent a year, compared with 4.3 per cent in the 1960-1965 period. This estimate assumes a further strong movement of labour to high-productivity sectors, facilitated by an active labour market policy. It also assumes continued improvements in education, research and vocational training. The Survey

proposes a further increase in the rate of investment, entailing an increase in fixed capital per working hour of 5.1 per cent a year, compared with an annual increase of 3.6 per cent in the 1960-1965 period. On this basis real GNP is expected to grow by 4.2 per cent a year, compared with the 4.9 per cent achieved in the first half of the decade. Industrial production may rise by 5 per cent a year, rather less rapidly than in recent years. Agricultural production is expected to decline, continuing the previous trend, and to represent only 3 per cent of GNP in 1970.

TABLE 16. CHANGES IN PRODUCTIVE RESOURCES AND GROSS NATIONAL PRODUCT 1950-1970

Per cent per year.

	1950-1960	1960-1965	1965-1970
Gross national product	3.4	4.9	4.2
Employment:			
Number of man-years	0.4	0.9	0.3
Hours per man, per year	— 0.5	— 0.3	— 0.6
Hours per year, total	— 0.1	0.6	— 0.3
Capital endowment	3.6	4.2	4.8
Labour productivity:			
Production per man-year	3.0	4.0	3.9
Production per hour	3.5	4.3	4.5
Capital productivity:			
Production per unit of capital input	— 0.2	0.7	— 0.6
Capital intensity:			
Capital per man-year	3.2	3.3	4.5
Capital per hour	3.7	3.6	5.1

Source: Svensk Ekonomi 1966-1970.

Resource Allocation

The plans of the private and public sectors on which the long-term Survey is based point to strong increases in fixed investment and public consumption. Assuming an increase in private consumption at the rate experienced in recent years, a " normal " rise in inventories, and replacement of the current external deficit by a small surplus, real GNP would have to rise by 5.2 per cent a year, much faster than the estimated growth of capacity. There is also a significant gap between the increase in the sectors' demand for labour (165,000) and the estimated growth in the labour

force (110,000); the gap is much bigger if account is taken of the probable cut in working hours. A major problem for economic policy will therefore probably consist of keeping the growth of aggregate demand within the limits set by the growth of capacity.

The Survey discusses some implications of two extreme sets of assumptions. One possibility would be to let investment and public consumption rise as suggested by the sector plans. This would permit a considerable easing of the shortages in a number of sectors, such as housing, health service, education and social welfare. But it would entail a very moderate increase in private consumption, less than 3 per cent a year, and require a very restrictive fiscal policy. It might also entail considerable difficulties in the field of incomes policy. The strong increases in investment and public consumption might require a relative increase in wages in construction and the public sector. Since the wage levels in these sectors are rather above the average in the country, this policy might run counter to the objective of achieving an improvement in the position of the low wage groups, and strengthen the general pressure on wages.

Another possibility would be to let private consumption grow at the same rate in relation to GNP as in recent years (3.9 per cent a year as against 4.6 per cent in the 1960-1965 period) and restrict the expansion of investment and public consumption accordingly. This alternative would make less heavy demands on fiscal policy, make it less difficult to improve the position of the low wage groups, and ease the pressure on costs and prices. But it would also entail a more moderate rate of growth and aggravate existing shortages.

TABLE 17. **NATIONAL PRODUCT AND EXPENDITURE 1950-1970**

Volume changes, per cent per year.

	1950-55	1955-60	1960-65	1965-70
Gross national product	3.0	3.4	4.9	4.2
Private consumption	2.6	2.6	4.6	3.4
Public consumption	4.5	3.6	5.7	4.7
Gross fixed asset formation	3.4	4.8	5.7	4.7
Dwellings	4.7	3.2	8.0	5.1
Public services	11.4	4.1	8.9	4.8
Inventory accumulation[1]	1.5	1.7	1.1	0.7
Net exports[1]	—0.8	—1.1	—1.1	0.1

1. Per cent of GNP, end of period.

Source: Svensk Ekonomi 1966-1970.

The Survey discusses in greater detail the implications of a third alternative, which assumes an increase in private consumption of 3.4 per cent a year. This permits a somewhat faster expansion of both public consumption and fixed investment than in GNP, and makes room for a small current external surplus in 1970, see Table 17.

The investment estimate shows a particularly strong increase in industrial fixed asset formation, 7 per cent a year, in order to achieve the desired increase in capacity, given the likely development of the labour force. This is rather more than suggested by industry's own plans, and than the rate of increase realised in the 1960-1965 period. The strong emphasis on industrial investment entails some slowdown of the growth of public investment and residential construction, implying that many of the existing shortages in these sectors will not be removed by 1970. The assumed rise in public consumption, although faster than the growth of GNP, also represents a deceleration compared with the 1960-1965 period.

The assumed annual increase in private consumption (3.4 per cent) is much smaller than the one realised over the last five years (4.6 per cent).

On a per capita basis, this estimate implies an increase of only 2.6 per cent a year. As a result of decisions already taken to ensure a strong increase in the real income of pensioners, and given the strong increase in their number, incomes of this group may rise by as much as 7 per cent a year. Moreover, with the number of children and students also rising rapidly, the scope for higher consumption of gainfully employed people will be limited.

TABLE 18. PRODUCTION, INVESTMENT AND EMPLOYMENT BY SECTORS 1965 AND 1970

Percentage distribution.

	GROSS DOMESTIC PRODUCT		GROSS FIXED ASSET FORMATION		EMPLOYMENT	
	1965	1970	1965	1970	1965	1970
Agriculture, forestry, fishing	8.0	6.9	3.7	3.1	10.0	7.4
Manufacturing, power works, construction	45.0	46.5	29.9[1]	31.0[1]	43.7	44.5
Transportation	8.6	8.8	18.7	18.8	7.8	7.7
Trade and private services[2]	26.8	26.2	28.0	27.7	23.0	22.9
Public services	11.6	11.6	19.7	19.4	15.1	17.1
Total	100.0	100.0	100.0	100.0	100.0[3]	100.0[3]

1. Investment in water ways is included in this item (per cent of total 1965: 4.0, 1970: 3.8).
2. Including ownership of dwellings.
3. The total includes people working in non-specified activities.

Source: Svensk Ekonomi 1966-1970.

The above estimates leave room for a small surplus on the current external account in 1970, as a basis for an expected increase in Sweden's development aid. But the Survey states that it cannot be taken for granted that this surplus will be achieved unless measures to this end are taken. In fact, assuming the marginal import content of the various types of expenditure to be the same as in the last ten years, and forecasting exports on the basis of probable trends in foreign markets, the current balance does not seem likely to improve to the extent desired, given the probable trend in invisible earnings. Shipping earnings are not expected to increase, and the deficit on other invisibles may rise, mainly because of higher net tourist expenditure. On this basis the current account (including a favourable balancing item) may remain in deficit.

TABLE 19. **CURRENT BALANCE OF PAYMENTS 1965 AND 1970**

Kr. million in 1965 prices.

	1965	1970 ESTIMATES	PERCENTAGE CHANGES
Merchandise exports, fob	20,555	28,550	39
of which: ships	1,481	1,400	—
Merchandise imports, cif	22,651	29,350	30
Trade balance	— 2,096	— 800	
Shipping earnings, net	1,550	1,600	
Other invisibles, net	— 900	— 1,500	
Balancing item	400	400	
Current balance as estimated in 1966-1970 Survey	— 1,046	— 300	
Current balance, target		350	

Source: Svensk Ekonomi 1966-1970.

The trends and problems discussed in the Survey thus point to relatively strained conditions in the second half of the 1960's, mainly for three reasons.

a) While the population is likely to grow at a slightly higher rate than in the first half of the present decade, employment measured in working hours is likely to decline, thereby limiting the growth of supply.

b) The objective of replacing the existing external current deficit by a surplus will limit the resources available for domestic use.

c) The rise in the investment ratio suggested by the Survey, although serving to increase the growth rate, will limit the resources available for consumption. This may also tend to increase the pressure of demand.

This suggests that demand-management policy will have a major role to play, both to restrict the growth of domestic demand to the limits set by the growth of capacity and the foreign balance, and to limit the increase in private consumption so as to achieve the desired increase in the national savings rate.

V. CONCLUSIONS

The strong pressure on resources that developed in 1965 was accompanied by a marked deterioration of the current foreign balance and a sharp increase in wage costs. The Swedish authorities expect some easing of the pressure of demand in 1966. It is somewhat uncertain, however, to what extent this will be achieved unless further restrictive measures are taken. Personal incomes and private consumption may well rise more than assumed, and the decline in activity in the first months of the year because of the cold weather may be followed by a sharp recovery which will add to the strain on resources later in the year. It may also be argued that a rather stronger decline in the pressure of demand than that suggested in the National Budget for 1966 would have been desirable. The authorities' forecasts suggest that the current external balance, although improving, will remain in relatively large deficit. And with a continued shortage of labour, the rise in wages may tend to be higher than compatible with economic stability, and may begin to threaten the competitive position of Swedish industry, especially in view of the strong upward trend of costs in recent years. The present Survey was written before new wage agreements had been concluded. If wages and other incomes should rise more than assumed further measures to restrict the growth of demand may be needed.

The maintenance of economic stability may represent a major problem also beyond the immediate future. The 1966-1970 Survey recently published by the authorities suggests that capacity may rise less rapidly in the second half of the 1960's than in the first, because of a probable decline in employment measured in working hours. The increase in resources available for domestic use will also be limited by the desire to replace the existing current external deficit by a surplus in 1970. The assumed increase in the ratio of domestic investment to GNP will reduce the scope for higher consumption. The population, however, is likely to increase at a slightly higher rate than in recent years, and personal incomes may tend to rise fast, partly because decisions already taken point to a strong increase in pension incomes. The claims on demand-management policy may therefore tend to increase in the years ahead.

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STATISTICAL ANNEX

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TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE[1]

S.Kr. million at 1959 prices.

	1958	1959	1960	1961	1962	1963	1964
1. Private consumption	34,443	35,712	36,294	38,219	39,624	41,699	43,853
a) Durables	3,593	4,135	4,045	4,552	4,652	5,116	5,646
b) Other	30,850	31,577	32,249	33,667	34,972	36,583	38,207
2. Public consumption	9,972	10,481	10,534	10,900	11,691	12,344	12,837
a) Defence	2,697	2,835	2,832	2,756	3,140	3,190	3,222
b) Civil	7,275	7,646	7,702	8,144	8,551	9,154	9,615
3. Gross domestic fixed asset formation	11,566	12,722	13,285	14,232	14,898	15,980	17,128
a) Residential construction	2,972	3,110	3,039	3,269	3,546	3,831	4,306
b) Other construction	4,621	5,263	5,470	5,749	5,929	6,601	6,999
c) Transport equipment	1,393	1,521	1,854	1,690	1,794	1,821	2,093
d) Other equipment	2,580	2,828	2,922	3,524	3,629	3,727	3,730
4. Change in stocks	— 87	— 178	1,458	1,155	499	— 151	875
5. Exports of goods and services	14,543	15,210	16,960	17,617	18,901	20,151	22,228
6. Imports of goods and services	14,740	15,161	17,623	17,805	18,923	19,976	21,836
7. Gross national product at market prices	55,697	58,786	60,908	64,318	66,690	70,047	75,085

1. According to OECD definitions.

Source: Swedish submission to the OECD.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE[1]

S.Kr. million at current prices.

	1958	1959	1960	1961	1962	1963	1964
1. Private consumption	34,204	35,712	37,554	40,603	44,050	47,730	51,604
a) Durables	3,607	4,135	4,211	4,803	5,128	5,702	6,373
b) Other	30,597	31,577	33,343	35,800	38,922	42,028	45,231
2. Public consumption	9,794	10,481	11,122	12,015	13,795	15,330	16,698
a) Defence	2,695	2,835	2,981	3,013	3,624	3,814	4,014
b) Civil	7,099	7,646	8,141	9,002	10,171	11,516	12,684
3. Gross domestic fixed asset formation	11,540	12,722	14,136	15,653	17,096	18,938	21,134
a) Residential construction	2,952	3,109	3,247	3,607	4,092	4,597	5,427
b) Other construction	4,579	5,264	5,833	6,322	6,799	7,863	8,715
c) Transport equipment	1,451	1,521	1,892	1,767	1,913	1,950	2,227
d) Other equipment	2,558	2,828	3,164	3,957	4,292	4,528	4,765
4. Change in stocks	— 69	— 178	1,541	1,179	519	— 101	921
5. Exports of goods and services	14,862	15,216	17,366	18,247	19,347	20,951	23,813
6. Imports of goods and services	15,104	15,167	17,905	18,119	19,394	20,981	23,775
7. Gross national product at market price	55,227	58,786	63,814	69,578	75,413	81,867	90,395

1. According to OECD definitions.

Source: Swedish submission to the OECD.

Table III. GROSS FIXED ASSET FORMATION[1]

S.Kr. million at 1959 prices.

	1958	1959	1960	1961	1962	1963	1964
A. By Industry:							
Agriculture, forestry and fishing	451	474	503	585	606	622	643
Manufacturing, mining and construction	2,569	2,771	3,082	3,769	3,794	3,902	3,679
Electricity, gas and waterworks	1,422	1,538	1,552	1,636	1,544	1,591	1,645
Transportation and communication	2,565	2,992	3,254	3,013	3,169	3,374	3,880
Dwellings	2,972	3,110	3,039	3,269	3,546	3,831	4,309
Public administration	258	286	281	283	340	433	488
Other service industries	1,329	1,551	1,574	1,677	1,899	2,227	2,487
Total	11,566	12,722	13,285	14,232	14,898	15,980	17,128
B. Institutional Classification:							
Private enterprise	6,938	7,399	8,157	8,978	9,217	9,710	10,237
Public enterprise	2,684	3,034	3,163	3,302	3,560	3,666	3,946
General government	1,944	2,289	1,965	1,952	2,121	2,604	2,945
C. Product Classification:							
Dwellings	2,972	3,110	3,039	3,269	3,546	3,831	4,306
Other building and construction	4,621	5,263	5,470	5,749	5,929	6,601	6,999
Transport equipment	1,393	1,521	1,854	1,690	1,794	1,821	2,093
Other equipment	2,580	2,828	2,922	3,524	3,629	3,727	3,730

1. According to OECD definitions, which do not include maintenance and repair.

Source: Swedish submission to the OECD.

TABLE IV. **DEVELOPMENT OF GROSS INVESTMENTS 1962-1966 (INCLUDING MAINTENANCE, ETC.)**

	PERCENTAGE CHANGE, 1959 PRICES			1965 IN MILLION KR. CURRENT PRICES	CHANGE 1965-1966 IN 1965 PRICES	
	1962-63	1963-64	1964-65		MILLION KRONOR	PER CENT
Buildings and construction:						
Private including dwellings	6.5	5.5	1.5	9,717	170	1.5
Private excluding dwellings	4.5	1.0	3.5	4,406	147	3.5
Central government including dwellings	2.5	2.0	3.5	3,447	255	7.5
Central government excluding dwellings	2.5	2.0	3.5	3,440	255	7.5
Local government including dwellings	12.0	12.5	12.5	7,170	412	5.5
Local government excluding dwellings	14.5	12.5	13.0	5,380	409	7.5
Total including dwellings	7.5	7.0	5.5	20,334	837	4.0
Total excluding dwellings	7.5	5.5	7.5	13,226	811	6.0
Machinery and apparatus:						
Private	2.5	3.5	7.0	10,153	1,343	13.0
Central government	0.0	6.0	1.5	3.836	29	1.0
Local government	19.5	9.0	— 5.0	771	93	12.0
Total	2.5	4.5	5.0	14,760	1,465	10.0
Total:						
Private including dwellings	4.5	4.5	4.5	19,870	1,513	7.5
Private excluding dwellings	3.0	2.5	6.0	14,559	1,490	10.0
Central government including dwellings	1.0	4.0	2.0	7,283	284	4.0
Central government excluding dwellings	1.0	4.5	2.5	7,276	284	4.0
Local government including dwellings	12.5	12.0	10.5	7,941	505	6.5
Local government excluding dwellings	15.0	12.0	10.5	6,151	502	8.0
Total including dwellings	5.0	6.0	5.0	35,094	2,302	6.5
Total excluding dwellings	5.0	5.0	6.0	27,986	2,276	8.0

Source: Preliminary National Budget 1966.

TABLE V. MAIN ECONOMIC INDICATORS

		1963				1964				1965			
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
INDICATORS OF NATIONAL PRODUCT *(billion 1959 kronor)*:													
Consumers expenditure	adj.	10.06	10.08	10.26	10.41	10.51	10.66	10.81	11.02	10.98	11.71	10.69	
Gross fixed investment	adj.	5.69	5.92	6.05	6.01	6.20	6.29	6.22	6.41	6.49	6.69	6.51	6.74
INDUSTRIAL PRODUCTION:													
Total *1960 = 100*	orig.	113	117	93	121	123	123	100	128	128	130	101	129
	adj.	106	110	110	112	115	115	118	118	119	122	118	119
Investment goods *1960 = 100*	orig.	115	118	92	120	122	124	97	127	129	130	98	130
	adj.	108	111	112	113	115	116	119	120	122	123	118	122
Consumer goods *1960 = 100*	orig.	110	115	93	119	119	118	98	124	120	124	98	124
	adj.	105	111	109	112	115	113	115	117	116	119	115	116
Commodity output: Crude steel *(quarterly output, thousand tons)*		1,026	982	810	1,065	1,150	1,117	1,012	1,210	1,297	1,120	1,038	1,258
NEW ORDERS *(1960 = 100)*:													
Engineering total		88	93	88	104	98	106	101	119	105	106	97	
CONSTRUCTION:													
Housing started *(thousands)*:		6.3	13.6	17.9	23.8	8.4	21.0	23.0	14.7	11.0	14.2	14.1	25.5
LABOUR:													
Employment in mining and manufact.: (labour force survey, all employees)		1,172	1,212	1,224	1,228	1,198	1,202	1,241	1,240	1,272	1,258	1,282	1,268
Unemployment (registered unemployed)[1]	orig.	43.3	21.4	14.7	19.8	27.7	21.0	15.5	20.3	29.2	17.8	12.0	20.9
	adj.	32.1	22.3	22.3	21.2	19.1	22.4	23.5	21.8	20.0	18.9	18.1	21.8
Jobs vacant (outstand. vacancies)[2]	orig.	39.7	58.4	54.0	45.3	45.0	66.2	56.9	50.6	52.7	74.8	65.4	52.9
	adj.	46.1	48.5	51.3	51.4	52.1	55.1	54.4	57.2	60.7	62.2	62.6	59.9

1. Quarterly averages of mid-month figures.
2. Quarterly averages of end of month figures.

NOTE. Orig. : Series prior to seasonal adjustment.
Adj. : Series adjusted for seasonal variations.

Source: OECD Main Economic Indicators.

Table VI. INDUSTRIAL PRODUCTION

1960 = 100.

	1961	1962	1963	1964	1965[1]
Iron ore	112	106	111	127	140
Iron and metal works	110	111	119	133	141
Wood	105	105	108	117	123
Pulp	104	96	110	126	126
Paper	106	109	121	136	144
Food	103	106	108	111	112
Spinning, weaving and knitted goods	101	103	104	107	n.a.
Ready-made clothing	108	107	113	114	n.a.
Leather and shoes	96	92	97	95	92
Total	107	108	110	118	121
Consumer goods	104	105	109	115	116
Capital goods	108	110	111	117	121

1. Preliminary figures.

Source: Monthly Digest of Swedish Statistics.

Table VII. IMPORTS BY COMMODITY GROUPS[1]

S.Kr. million.

	1960	1961	1962	1963	1964	1965
Food, beverages, tobacco	1,701	1,755	1,931	2,117	2,447	2,509
Raw materials	1,383	1,330	1,245	1,334	1,476	1,713
Mineral fuels, etc.	2,116	2,050	2,166	2,372	2,508	2,477
Chemicals	1,146	1,152	1,240	1,323	1,557	1,747
Manufactured goods	4,730	4,802	4,961	5,409	6,298	7,466
Non-electric machinery	1,488	1,790	1,982	2,058	2,343	1,530
Electric machinery	988	1,005	1,060	1,140	1,302	2,798
Transport equipment	1,455	1,269	1,569	1,798	2,015	2,417
Total	15,006	15,151	16,154	17,552	19,946	22,657

1. According to the Revised SITC.

Source: Monthly Digest of Swedish Statistics.

Table VIII. EXPORTS BY COMMODITY GROUPS[1]

S.Kr. million.

	1960	1961	1962	1963	1964	1965
Food, beverages, tobacco	388	444	508	541	530	596
Raw materials	4,500	4,377	4,230	4,594	5,492	5,633
Chemicals	384	413	459	535	642	721
Manufactured goods	3,950	4,364	4,573	5,066	5,876	6,419
Non-eletric machinery	1,825	2,262	2,666	2,658	2,983	3,233
Electric machinery	579	629	738	860	1,124	1,161
Transport equipment	1,647	1,709	1,957	2,314	2,367	2,791
Total	13,273	14,198	15,129	16,568	19,014	20,554

1. According to the Revised SITC.

Source: Monthly Digest of Swedish Statistics.

Table IX. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

Fiscal year beginning July

S.Kr. million.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964
1. Current revenue	8,226	8,597	9,570	10,151	11,467	11,832	12,854	15,414	16,732	18,509	19,505	22,584
Direct taxes	4,469	4,364	4,803	5,147	5,756	5,723	5,797	6,918	7,508	7,794	7,686	9,693
Indirect taxes	3,180	3,594	4,137	4,390	4,937	5,354	6,159	7,528	8,156	9,531	10,648	11,453
Other	577	639	630	614	774	755	898	968	1,068	1,184	1,171	1,438
2. Current expenditure	6,775	7,213	7,773	8,458	9,785	10,543	11,312	11,988	12,993	14,963	16,054	18,763
Purchases of goods and services	3,285	3,479	3,767	4,021	4,396	4,605	4,924	5,224	5,888	6,737	7,365	8,446
Defence	2,062	2,189	2,328	2,453	2,663	2,739	2,882	2,895	3,288	3,664	3,917	4,149
Civil	1,223	1,290	1,439	1,568	1,733	1,866	2,042	2,329	2,600	3,073	3,448	4,297
Subsidies	402	370	513	490	684	715	699	778	881	883	910	1,049
Interest	341	350	432	460	573	599	763	1,011	899	793	815	850
Current transfers	2,747	3,014	3,061	3,487	4,132	4,624	4,926	4,975	5,325	6,550	6,964	8,418
3. Net current savings (1 — 2)	1,451	1,384	1,797	1,693	1,682	1,289	1,542	3,426	3,739	3,546	3,451	3,821
4. Depreciation and other operating provisions	443	598	536	503	725	637	760	871	874	1,089	1,034	1,191
5. Gross savings (3 + 4)	1,894	1,982	2,333	2,196	2,407	1,926	2,302	4,297	4,613	4,635	4,485	5,012
6. Gross fixed asset formation	1,553	1,473	1,562	1,612	1,723	2,115	2,353	2,281	2,319	2,558	2,847	3,076
7. Surplus on current and fixed investment account (5 — 6)	341	509	771	584	684	— 189	— 51	2,016	2,294	2,077	1,638	1,936
8. Lending	754	1,045	1,181	970	1,375	1,146	1,254	1,156	1,233	1,234	1,005	1,385
9. Net capital transfers to other sectors	193	236	230	262	317	340	364	395	431	454	635	804
10. Surplus before borrowing (7 — 8 — 9)	— 606	— 772	— 640	— 648	— 1,008	— 1,675	— 1,669	465	630	389	— 2	— 253

1. According to OECD definitions.

Source: Swedish submission to the OECD.

Table X. CENTRAL GOVERNMENT FINANCES[1]

Calendar Years

S.Kr. million.

	1959 ACTUAL	1960 ACTUAL	1961 ACTUAL	1962 ACTUAL	1963 ACTUAL	1964 ACTUAL	1965 PRELIM.	1966 FORECAST
Current receipts	12,889	14,745	17,440	19,230	19,886	21,934	26,270	29,350
Direct taxes	6,422	6,790	8,553	8,921	8,556	9,549	11,930	12,380
Indirect taxes	5,452	6,812	7,634	8,931	9,841	10,777	12,290	14,590
Other	1,015	1,143	1,253	1,378	1,489	1,608	2,050	2,380
Current and investment expenditure	13,631	14,858	15,635	17,637	19,166	21,144	24,820	27,700
Transfer payments	7,217	7,971	8,572	9,543	10,191	11,632	13,350	15,400
Consumption	3,274	3,557	3,894	4,423	5,106	5,547	6,700	7,350
Gross investment	3,140	3,330	3,169	3,671	3,869	4,235	4,770	4,950
Balance on current and fixed investment account	— 742	— 113	1,805	1,593	720	790	1,450	1,650
Lending	1,031	1,112	1,220	1,113	794	982	1,200	1,750
Balance on total account	— 1,773	— 1,225	585	480	— 74	— 192	250	— 100

1. According to Swedish definitions.

Source: National budgets 1966 and previous years.

Table XI. THE NATIONAL PENSION FUND

S.Kr. million.

	1960	1961	1962	1963	1964	1965
Contributions paid	468	699	1,346	1,891	2,442	2,905
Pensions paid out	—	—	—	36	102	153
Assets by kind of objects, nominal value; end of year:						
Bonds	406	985	2,262	3,741	5,654	7,697
Debentures	15	23	140	264	401	587
Municipal loans excl. bonds	41	136	276	445	724	1,107
Other	18	61	170	314	573	1,132
Total	480	1,205	2,848	4,764	7,352	10,523
Investments by different groups of borrowers, cash values; end of year:						
Government bonds	135	104	176	435	700	979
Housing credits	173	606	1,276	1,978	3,021	4,245
Agriculture	15	40	74	166	250	349
Municipal loans	61	154	342	665	1,140	1,673
Loans to Swedish enterprises	87	267	869	1,312	1,820	2,566
Other	—	19	83	208	350	631
Total	471	1,190	2,820	4,764	7,281	10,443

Source: Swedish submission to the OECD.

Table XII. ISSUES OF BONDS AND SHARES

Kr. billion.

	BONDS	SHARES	TOTAL
1959	3.3	0.6	3.9
1960	2.5	0.9	3.4
1961	2.4	1.6	4.0
1962	4.9	1.2	6.1
1963	5.8	0.9	6.7
1964	5.4	0.9	6.3
1965	4.6	1.9	6.5

Source: Monthly Digest of Swedish Statistics.

TABLE XIII. MONETARY SURVEY

S.Kr. million, end of period.

	1958	1959	1960	1961	1962	1963	1964	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.
Central Bank:											
Foreign assets, net and gold	2,445	2,166	2,435	3,318	3,869	3,619	4,476	4,966	4,698	4,539	4,207
Swedish treasury bills and bonds	4,545	4,893	6,005	5,702	4,683	5,037	4,707	3,208	3,002	2,962	5,121
Advances	94	241	6	6	35	240	104	463	1,493	1,555	377
Notes in circulation	6,059	6,266	6,559	6,870	7,330	7,869	8,386	7,688	8,205	7,834	8,746
Current deposits	321	284	272	372	334	306	218	117	172	500	237
Other deposits[1]	361	387	1,155	1,254	904	867	969	1,088	1,143	1,126	1,140
Commercial Banks:											
Cash	457	479	434	472	515	554	482	368	508	354	523
Foreign assets, net	546	881	453	472	492	595	576	299	456	544	678
Bonds and treasury bills	5,223	6,339	5,558	5,673	7,277	6,480	7,111	6,816	6,421	6,845	6,716
Advances:											
i) Amounts drawn	11,692	13,125	14,091	14,541	16,196	19,348	21,334	22,326	23,318	23,460	24,008
ii) Amounts granted	13,469	15,358	16,293	16,973	18,944	22,459	24,938	25,564	26,801	26,968	28,348
Current deposits	1,988	2,733	2,290	2,994	3,204	3,719	4,338	3,318	4,957	3,713	4,655
Savings and time deposits	13,999	16,218	16,234	16,421	18,877	20,691	22,311	23,541	21,468	22,637	23,076
Savings Banks:[2]											
Bonds and treasury bills	1,022	1,065	1,148	1,197	1,324	1,316	1,511	1,579	1,529	1,613	1,591
Advances	8,852	9,573	10,144	10,906	11,708	12,668	13,530	13,878	14,129	14,332	14,719
Deposits	9,806	10,470	11,269	12,066	12,638	13,531	14,544	15,566	15,356	15,594	15,776
Other Monetary Data:											
Government bond yield[3]	4.91	4.81	5.18	5.34	4.99	4.93	5.64	5.87	6.27	6.27	6.38
Official discount rate	4.5	4.5	5.0	5.0	4.0	4.0	5.0	5.0	5.5	5.5	5.5

1. Mainly enterprises' investment reserve deposits.
2. Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3. Loans with 15 years left to maturity.

Source: Monthly Digest of Swedish Statistics, Uppgifter om Bankerna.

Table XIV. DEPOSITS WITH AND LOANS FROM COMMERCIAL BANKS

S.Kr. million.

	1950	1955	1960	1962	1963	1964	1965	CHANGE			
								1950-55	1955-60	1960-64	1964-65
Deposits	8,930	12,609	18,524	22,080	24,410	26,649	27,731	3,679	5,915	8,125	1,082
Loans	9,240	10,530	14,091	16,196	19,348	21,334	24,008	1,290	3,561	7,243	2,674
Deposits in excess of loans	— 310	2,079	4,433	5,884	5,062	5,315	3,723	2,389	2,354	882	—1,592

Source: Monthly Digest of Swedish Statistics.

Table XV. COMMERCIAL BANKS

	Liquid assets	Deposits	Loans	Advances	Change in liquid assets	Liquid asset/deposit ratio	Loan/deposits ratio	Advances deposits ratio
		S. kr. million			m. kr.	per cent		
End 1961	7,759	19,415	6,911	14,541		40.0	35.6	74.9
End 1962	9,528	22,080	7,767	16,196		43.2	35.2	73.4
1st qtr. 1963	8,944	22,491	8,184	17,550	— 584	39.8	36.4	78.0
2nd « «	8,536	22,475	8,613	18,382	— 408	38.0	38.3	81.8
3rd « «	8,258	22,891	8,902	19,037	— 278	36.1	38.9	83.2
4th « «	9,408	24,410	9,391	19,348	1,150	38.5	38.5	79.3
1st qtr. 1964	7,976	24.905	9,537	20,296	— 1,432	32.0	38.3	81.5
2nd « «	9,368	24,259	9,527	20,498	1,392	38.6	39.3	84.5
3rd « «	9,025	24,720	9,655	21,247	— 343	36.5	39.1	86.0
4th « «	9,983	26,649	10,092	21,334	958	37.5	37.9	80.1
1st qtr. 1965	9,400	26,859	10,097	22,326	— 583	35.0	37.6	83.1
2nd « «	9,656	26,425	10,379	23,318	256	36.5	39.3	88.2
3rd « «	9,754	26,350	10,344	23,460	98	37.0	39.3	89.0
4th « «	10,104	27,731	10,996	24,008	350	36.4	39.7	86.6

Source: Monthly Digest of Swedish Statistics.

TABLE XVI. COMMERCIAL BANKS' NET CLAIM ON THE RIKSBANK

S.Kr. million.

	JAN.	FEBR.	MAR.	APRIL	MAY	JUNE	JULY	AUG.	SEPT.	OCT.	NOV.	DEC.
1959	222	109	65	146	25	— 5	67	20	3	34	— 123	— 12
1960	36	28	— 179	— 91	— 17	— 123	— 114	— 326	— 297	— 98	— 165	— 23
1961	32	29	— 231	— 375	— 299	— 293	— 205	14	— 201	— 5	— 109	58
1962	17	25	6	52	— 232	— 285	12	— 46	— 307	— 226	— 220	— 43
1963	— 123	— 236	— 321	— 376	— 504	— 665	— 199	— 86	— 121	— 16	— 278	— 181
1964	— 33	— 46	— 258	— 149	— 180	— 555	— 437	— 374	— 289	— 122	— 419	— 189
1965	— 162	— 173	— 260	— 61	— 591	— 965	— 359	— 208	— 545	— 506	— 610	— 364

Source: Annual report of Riksbank, 1965.

NOTE. The net claim for a month has been calculated as the average of the differences, at the four monthly bank return dates, between commercial banks' sight deposits at the Riksbank and their indebtedness to the Riksbank.

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